Mosquito Squad

Franchise Decision Report

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Executive Summary

Mosquito Squad has the best disclosure quality of any brand in the mosquito pest control cohort. Its Item 19 spans seven tables covering per-territory revenue by quartile, close rates, renewal rates, per-appointment and per-customer revenue, five-year systemwide growth, and a full company-owned P&L. No other brand comes close to this level of transparency.

The numbers that transparency reveals are strong: $484,506 average revenue per territory across 207 qualifying territories, $124.3M in total systemwide sales (5x the next closest competitor), and a company-owned operation across 14 territories generating $20.8M in revenue at 25.9% net margin. Same-store growth was 5% in 2024. Zero franchisee terminations in 2024, down from 12 in 2022.

The cost of entry is the highest in the cohort at $162,380–$220,375 — though $84K–$117K of that is 12-month working capital reserves (competitors typically budget only 3 months). The fee structure rewards scale: a triple-tiered royalty (10%/9%/8%) and a local marketing cap of $50,000 mean that larger operators pay proportionally less. At $300K revenue, total fees of $77,880 (26.0%) are second-lowest in the cohort after Mosquito Authority.

The risks are concentrated in exit terms and legacy issues. Liquidated damages on termination are the most aggressive in the cohort: the greater of two years' average royalty or $50,000. Year 9+ minimum royalty reaches $3,000/month ($36K/year). The system contracted in 2022 (-10 net franchised units) before recovering. A 2024

Massachusetts Attorney General action addressed misleading environmental claims in marketing. The data is the best in the cohort; the cost and exit terms are the most aggressive.

Fee Burden Analysis

Squad's fee structure is unusual in two ways: the Brand Fund is a flat monthly fee (not a percentage of revenue), and the local marketing obligation is capped at $50,000/year. Both features benefit higher-revenue operators. The triple-tiered royalty (10% on first $250K, 9% on $250K–$500K, 8% above $500K) adds a third scale advantage. At lower revenue, the $35,000 local marketing floor drives total burden above 34%.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$39,200	$9,180	**$68,380**	34.2%	3/5
$300,000	$29,500	$39,200	$9,180	**$77,880**	26.0%	2/5
$400,000	$38,500	$44,200	$9,180	**$91,880**	23.0%	2/5
$500,000	$47,500	$54,200	$9,180	**$110,880**	22.2%	2/5

Component breakdown

- **Royalty (10%/9%/8% tiered):** 10% on first $250K of calendar-year gross revenue, 9% on $250K–$500K, 8% above $500K. Or minimum royalty (whichever is greater): $0/mo in Year 1, escalating to $3,000/mo by Year 9+ ($36K/year). The tiered structure rewards scale — at $500K you pay an effective 9.5% blended rate. (pp. 19–20, 29)
- **Brand Fund ($150–$450/mo flat):** Escalates from $150/mo in Year 1 to $450/mo in Year 7+. Flat fee, not percentage-based — unusual in this cohort. At $300K revenue, this is only 1.4% of revenue; at $500K, under 1%. (p. 20)
- **Local Marketing ($35K floor, $50K cap):** Greater of $35,000 or 10% of prior-year gross revenue, capped at $50,000/year. The cap is unique in the cohort and protects high-revenue operators. But the $35K floor hits hard at low revenue: it is 17.5% of $200K revenue. (pp. 20–21)
- **Website Fee ($350/mo):** $4,200/year. Can be increased 10% on 30 days' notice. (p. 22)

- **Technology ($60/mo) + ServiceMinder ($280/mo + $25/user):** Combined $340/mo baseline before additional users. Technology fee may increase to $150/mo. (p. 22)
- **Convention ($600/yr max):** Non-attendance penalties: $500 first miss, $2,000 each consecutive miss. (p. 25)

> **What this means:** At $300K revenue, you keep ~$222K after franchisor fees. At $500K, you keep ~$389K (77.8%). The structure is designed for operators who can scale past $350K, where the local marketing floor and Brand Fund become proportionally cheaper. Below $250K, the fixed-cost components make this one of the most expensive systems to operate.

> **AGGRESSIVE EXIT PENALTY**
>
> Liquidated damages on termination: the greater of two years' average royalty fees or $50,000. For a franchisee averaging $300K in revenue (and therefore ~$29.5K/year in royalty), this means $59,000 owed on termination. This is the most aggressive exit penalty in the cohort and should be factored into any worst-case planning. (p. 27)

Item 19 Interpretation

Squad's Item 19 is the crown jewel of this cohort — seven tables providing more granularity than any competitor. Critically, revenue is reported **per territory**, not per franchisee (unlike Mosquito Authority), making the data directly actionable for a single-territory buyer.

Per-territory gross revenue (Table 1)

207 qualifying territories in FY2024. The distribution is heavily right-skewed:

QUARTILE	TERRITORIES	AVERAGE	MEDIAN	RANGE
Q1 (top)	52	$1,123,247	$955,075	$656K–$2.8M
Q2	52	$467,598	$443,197	$318K–$654K
Q3	51	$233,445	$226,114	$165K–$316K
Q4 (bottom)	52	$108,907	$111,552	$11K–$165K
All territories	207	**$484,506**	**$317,881**	$11K–$2.8M

The gap between average ($484,506) and median ($317,881) tells the story: top-quartile operators pulling in $1.1M+ drag the average up. The median territory — the one you are more

likely to resemble in your first years — earns $318K. Only 36% of territories exceed the average. Aggregate franchised revenue: $100.3M. (p. 69)

Operational metrics (Tables 2–5)

- **Close rate:** 48% average, 51% median (75 franchisees, 183 territories). Q1 franchisees close at 65%, Q4 at 30%. (p. 70)
- **Renewal rate:** 70% average, 69% median. Range: 33%–90%. (p. 71)
- **Per-appointment revenue:** $98 average, $95 median. (p. 71)
- **Per-customer revenue:** $705 average, $715 median. (p. 72)

Systemwide growth (Table 6)

Five-year trajectory: $81.2M (2020), $100.7M (2021), $114.5M (2022), $117.4M (2023), $124.3M (2024). Growth has decelerated from 24% (2021) to 6% (2024). Same-store growth was 5% across 195 territories. Franchised revenue specifically declined -6% in 2022 (driven by territory reacquisitions and terminations) before recovering to +3% (2023) and +7% (2024). (p. 73)

Company-owned P&L (Table 7, labeled "Table 9" in FDD)

The most valuable table in any FDD in this cohort. Full P&L for 14 company-owned territories across Massachusetts (9), New Hampshire (3), and Rhode Island (2):

LINE ITEM	AMOUNT	% OF REVENUE
Revenue	$20,843,565	100.0%
COGS	$9,937,278	47.7%
Technician labor		23.4%
Marketing		7.3%
Program costs		12.7%
Products		4.3%
Gross Profit	**$10,906,288**	**52.3%**
Operating Expenses	$5,503,426	26.4%
Admin personnel		16.2%
Facilities		4.1%
Professional fees		3.0%
Net Ordinary Income	**$5,402,862**	**25.9%**

What to be careful about: This P&L is from a 14-territory, mature, company-owned operation that does not pay royalty fees. A single-territory franchisee paying 10% royalty on $300K revenue would see their effective net margin drop by 10 percentage points before accounting for scale disadvantages in admin, marketing, and purchasing. Technician labor at 23.4% of revenue is the single largest cost line — labor market conditions in your territory will determine whether this ratio holds. The table numbering error ("Table 9" for the 7th table) is a disclosure quality blemish. (p. 74)

> **What this means:** The company-owned P&L is the only real profitability benchmark in the entire cohort. At scale (14 territories, $1.5M/territory average), the business generates 25.9% net margin before royalty. For a single-territory franchisee at the $318K median revenue, the economics will look very different: subtract 10% royalty ($32K), recognize that admin costs won't scale as efficiently, and the realistic pre-tax margin is likely in the 10–15% range. Use the cost ratios as a guide, not the margin as a promise.

Investment Breakdown

Headline investment of $162,380–$220,375 is the highest in the cohort — but the comparison is misleading. Squad budgets 12 months of working capital ($83,855–$116,805) versus 3 months for most competitors. Stripping out the extra 9 months of reserves, the apples-to-apples range is approximately $79K–$104K, which is mid-cohort.

CATEGORY	LOW	HIGH
Franchise Fee	$50,000	$50,000
Business Outfitting Fee	$9,500	$9,500
Operations Outfitting Fee	$2,000	$2,000
Truck Outfitting Fee	$4,000	$9,500
Travel and Living During Training	$1,000	$1,500
Vehicle	$0	$11,000
Vehicle Signage	$2,400	$3,500
Storage Facility	$0	$3,600
Computer Systems	$800	$2,000
Software	$355	$630
Insurance	$7,000	$7,500
Professional Fees	$1,070	$2,140
Additional Funds — 12 Months	$83,855	$116,805
Total	**$162,380**	**$220,375**

What to know about the major line items

- **Franchise fee ($50K standard, $35K micro):** Standard territory covers 350K–500K population. Micro territory under 350K. Extensive discounts available: Conversion (25–75% off or $5K fixed for $500K+ revenue businesses), Veterans/Active-Duty (30%), Diversity ($5K off), Local Hero ($5K off). Range actually collected in FY2024: $24,000–$53,461. (pp. 15, 18)

- **Pre-opening outfitting ($15.5K–$21K):** Three franchisor-paid fees: Business Outfitting ($9,500), Operations Outfitting ($2,000), Truck Outfitting ($4K–$9.5K depending on gas vs. electric blowers). These are paid to the franchisor, not third parties. (p. 30)
- **Insurance ($7K–$7.5K):** Higher than most competitors. Reflects pest control liability exposure. (p. 30)
- **Working capital ($84K–$117K for 12 months):** The biggest line item. A 3-month equivalent would be ~$21K–$29K, bringing the total investment to $79K–$104K. The 12-month budget is more realistic for a seasonal business with minimal winter revenue, but it inflates the headline comparison. (p. 31)

> **What this means:** The real capital outlay (excluding reserves) is $79K–$104K. The franchise fee discounts are aggressive enough that many buyers will pay well under $50K — actual 2024 collections went as low as $24K. A veteran with a qualifying vehicle and a micro territory could realistically enter for under $100K total including 12 months of reserves.

System Health

Squad's system story over 2022–2024 is contraction, recovery, and growth. The 2022 contraction (–10 net franchised units, 12 terminations) was the worst year in the reporting window. By 2024, terminations dropped to zero, openings reached 19, and the system added 9 net franchised units. Fifteen company-owned outlets have remained stable throughout.

YEAR	START	OPENED	TERMINATED	NON-RENEW / CEASED	TRANSFERRED	END	NET
2022	223	5	12	3 / 0	18	213	−10
2023	213	15	6	1 / 4	14	217	+4
2024	217	19	0	3 / 7	12	226	+9

Zero terminations in 2024

The drop from 12 terminations (2022) to 6 (2023) to 0 (2024) is the strongest termination trend in the cohort. By contrast, Mosquito Shield terminated 65 franchisees in a single year (2023). Zero terminations does not mean zero attrition — 3 non-renewals and 7 ceased operations still occurred — but it means the franchisor is not actively removing franchisees. 2024 attrition rate: 4.3%. (pp. 76–84)

Transfer activity

18, 14, 12 transfers per year (declining). In a system with 220+ outlets, this represents ~5–8% annual ownership turnover. Transfers indicate the franchise has resale value — buyers exist for existing territories. The declining trend may reflect fewer distressed sales as the system stabilizes.

Company-owned footprint

15 territories across Massachusetts (9), New Hampshire (3), and Rhode Island (2) — stable across all three years. This is the largest company-owned operation in the cohort. These territories generated $20.8M in revenue (FY2024), averaging $1.49M per territory. The franchisor operates meaningful skin-in-the-game locations, not token company stores. (pp. 78, 82–83)

> **What this means:** The system is mature (16 years, 226 franchised units) with modest but improving growth. Three-year net: +3 franchised units. This is not a high-growth story like Shield (+140) — it is a stabilization-and-quality story. The 2022 contraction is worth understanding (what drove 12 terminations?), but the 2024 data shows a healthier system.

Risk Signals

Liquidated damages on termination

The greater of two years' average royalty fees or $50,000. This is the most aggressive exit penalty in the cohort. At $300K revenue (royalty ~$29.5K/year), the penalty would be ~$59,000. At $500K revenue, it rises to ~$95,000. This creates a significant financial barrier to exit and should be a focal point of attorney review. (p. 27)

Year 9+ minimum royalty

Minimum royalty escalates from $0/month (Year 1) to $3,000/month by Year 9 ($36,000/year). At $300K revenue, the percentage-based royalty ($29,500) exceeds this minimum. But at lower revenue levels, or during a slow season, the minimum becomes the binding constraint. A franchisee earning $200K would pay $20K in percentage royalty but owe $36K under the minimum by Year 9 — an effective 18% royalty rate. (pp. 19–20, 29)

MA Attorney General action (September 2024)

Assurance of Discontinuance with Massachusetts AG regarding misleading environmental and health claims in advertising: that barrier protection provides health benefits, is "natural" or "all-

natural," eliminates a high percentage of dangers, may be used "worry-free," and uses "EPA-approved" pesticides. Not an admission of liability. $13,000 in investigation costs. Expires 2034. The action relates to marketing claims, not franchise relationship issues, but franchisees may need to adjust marketing language. (pp. 14–15)

2022 system contraction

The system lost 10 net franchised units in 2022 (12 terminations, 3 non-renewals, only 5 openings). Franchised revenue declined -6% that year. Context: the franchisor reacquired 14 territories in December 2021 (now the company-owned P&L territories), which contributed to the contraction. The system has recovered, but the 2022 data shows the franchisor was willing to terminate aggressively when conditions warranted. (pp. 73, 76–78)

> **What this means:** The combination of $50K+ liquidated damages and escalating minimum royalty creates the most restrictive exit environment in the cohort. If the business underperforms, you face a choice between continuing to pay above-market minimums or paying a substantial termination penalty. Negotiate these terms before signing, or at minimum ensure your attorney reviews them closely.

Peer Context

Squad offers the best data in the cohort at the highest cost. At $300K revenue, its fee burden ($77,880, 26.0%) is second-lowest after Authority ($52,800, 17.6%) — but the gap is $25,000/year. The investment is nominally highest but includes 12-month reserves. The Item 19 is unmatched. The exit terms are the most aggressive.

Closest comparison: Mosquito Authority. Both mature, stable, PE-backed, with strong disclosure. Authority is cheaper to enter and operate but has less granular Item 19 data (per-franchisee, not per-territory) and only one company-owned location. If transparency matters most, Squad wins. If cost matters most, Authority wins.

Sharpest contrast: Mosquito Shield. Opposite profiles on data quality and growth strategy. Shield added +140 units in three years with the highest churn in the cohort (65 terminations in 2023). Lowest royalty (8%) but highest local marketing floor ($50K, uncapped). Shield discloses less but grows faster. Squad discloses more but grows modestly.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHIELD	MOSQUITO SQUAD
System size	546	135	415	435	226
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$120K–$157K	$162K–$220K
Fee burden at $300K	$52,800	$80,300	$84,752	$86,000	$77,880
% of revenue	17.6%	26.8%	28.3%	28.7%	26.0%
3-year net growth	+22	+8	+43	+140	+3
2024 attrition	1.8%	0.0%	5.7%	11.1%	4.3%
Royalty rate	10%	10%	10/7%	8%	10/9/8%

Questions for Discovery Day

These questions are derived from specific findings in the Mosquito Squad 2025 FDD. They are designed to surface information the FDD does not fully explain.

1. The system contracted by 10 franchised units in 2022 with 12 terminations. What specifically drove those terminations — performance defaults, relationship issues, or something else?

Item 20, pp. 76–78. Terminations dropped to 6 (2023) then 0 (2024).

2. Liquidated damages on termination are the greater of two years' average royalty or $50,000. Has this provision ever been enforced, and is there any flexibility in negotiating the minimum?

Item 6, p. 27. Most aggressive exit penalty in cohort.

3. The Year 9+ minimum royalty is $3,000/month ($36K/year). How many current franchisees are paying the minimum rather than the percentage rate, and at what revenue level does it typically become binding?

Item 6, pp. 19–20, 29. Escalating schedule from $0 (Y1) to $3K/mo (Y9+).

4. The company-owned P&L shows 25.9% net margin across 14 territories at $1.49M/territory average. What margin should a single-territory franchisee at the $318K median revenue realistically expect after royalty?

Item 19, Table 7 (labeled Table 9), p. 74. Does not include royalty (company-owned).

5. Technician labor is 23.4% of revenue in the company-owned operation. How are technicians compensated (hourly vs. per-service), and what is the typical staffing ratio per territory?

Item 19, Table 7, p. 74. Largest single cost line.

6. The MA Attorney General AOD requires ceasing certain environmental/health marketing claims. What marketing language can franchisees still use, and does this affect lead generation materials nationally?

Item 3, pp. 14–15. AOD expires 2034.

7. Local marketing has a $35,000 floor and a $50,000 cap. How prescriptive is the franchisor about how that money is spent, and what channels are required vs. optional?

Item 6, pp. 20–21. Unique floor-and-ceiling structure.

8. The franchise fee range actually collected in FY2024 was $24,000–$53,461. Under what circumstances do buyers qualify for the lower end of that range?

Item 5, pp. 15, 18. Extensive discount programs (Conversion, Veteran, Diversity, etc.).

9. Bottom-quartile territories averaged $109K in revenue (one as low as $11K). What support does the franchisor provide to underperforming territories, and at what point does a territory become a termination candidate?

Item 19, Table 1, p. 69. 52 territories in Q4.

10. The 14 company-owned territories were reacquired in December 2021. Were these previously franchised territories that were underperforming, or were they acquired for strategic reasons?

Item 19, Table 6, p. 73. Company-owned revenue spike of 12,646% YoY in 2022.

Source & Methodology

Source document: Mosquito Squad 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. Regulator-source PDF. SHA-256: `b176969051509bc58513af2f3870f80d96107ee5a48ccc16f43070bf5ce88c97`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. Brand Fund at Year 5 rate ($350/mo). ServiceMinder at $280/mo + $25/user (1 user). See fee_modeling_framework.md for full methodology.

Peer comparison: Same methodology applied to all 5 brands in cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Shield, Mosquito Squad). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision.